

Over the past 6 years, I have interacted with thousands of individuals. I have noticed a few patterns in the mistakes that people make when they start investing!

The oversimplified advice

Well in itself it is not bad advise but it is rather incomplete. The current valuations of the stock, your risk appetite, for how long the stock needs to be held - all these important questions are left out. Researching a stock, valuing it and knowing when to buy and sell has no exact science behind it. It requires knowledge, experience and the right temperament to execute which is not easy to come by.

Also, people ignore the changing Market Conditions! What worked for successful investors back in their day or what worked for investors in a different market may not work for you. So you can't go about simply applying strategies that have worked before.

The False Promise of Sure Profits

RETURNS FROM THE STOCK MARKET ARE VOLATILE.

There are a lot of traders or salesmen who will tell you how you can earn guaranteed returns from stocks or MFs because they have a new strategy or because the stock or MF has given good returns in past. Although, that has no basis and anything related to the stock market comes with high risk and uncertainty.

